

Cost allocation — where we are

Prepared for Barb Ewing · 12 September 2026 · Youngstown Business Incubator

The system is built and proven, and the books now agree with themselves at every point we can test. What remains is judgment work: Tom classifying the year, three documents we have asked YBI for, and eighteen specific questions only he can answer. None of it is software. All of it sits on one path that ends with the Single Audit and the Form 990.

1 • The system

BUILT AND PROVED

Ledger lines loaded, proved to their own subtotals	15,500
Cross-reference control points tying	11 of 11
Differences left unexplained	0.00
Contracts, with every clause read in	3 · 26
Automated tests · permission boundaries	581 · 68

STILL TO COME

Expense classified	0.0%
Decisions to make (top 200 carry 94.7%)	999
People who can certify their own effort	6 of 43
Assets with a funding source recorded	0 of 263
Buildings with square footage on file	none

The idea the whole thing rests on: no rate can be computed until the classifications are sealed. An auditor will ask whether the rate was reached honestly or worked backwards from a number somebody wanted, and the answer has to be documentary rather than a promise — so the software physically refuses to produce one until every judgment is locked and hashed, and refuses again if the books do not first agree with themselves.

Reconciliation A-1

Eleven points at which the general ledger, the profit and loss, the balance sheet and the payroll register are required to agree. Run before anything is classified, because a reconciliation produced after the rate is one nobody can believe.

Cross-reference points
11

Tying
11

Open
0
Everything ties

Named reconciling items
6
52,523

Controls

Ledger vs P&L (5)

Ledger vs balance sheet (4)

Reconciling items (6)

The register

What it proves	Ledger side	Statement side	Left over
☒ Profit and loss foots to the net income the sheet carries PL_FOOTING	P&L sections 4,329	Balance sheet net income 4,329	0
Net income as the P&L computes it must equal what the sheet carries in equity. Two exports that disagree are two different moments in the same books, and everything built on either is suspect.			
☒ Balance sheet balances BS_FOOTING	Assets 16,713,220	Liabilities and equity 16,713,220	0
Assets less liabilities and equity			

Schedule A-1. Eleven points where the general ledger, the profit and loss, the balance sheet and the payroll register must agree. All eleven tie and nothing is netted away. The eleventh is the one that found the \$45,000 donor credit.

2 • What Tom has to verify

Eighteen discrepancies, every one found by a control rather than by somebody reading, and every one answerable from what Tom already knows. Full detail in `docs/FOR_TOM_TO_VERIFY.md`.

The example, now confirmed. A pledge from Vince and Phyllis Bacon to fund interns was booked as a *credit against intern wage expense* rather than as contributions income. Ten of the eleven controls were blind to it — the entry is perfectly consistent with the ledger, the P&L and the balance sheet. Only the payroll register could see it. It made the fringe rate read **22.45%** when the defensible figure is **21.90%**. It is closed by naming it, not by adjusting anything. Still outstanding: the entry has not been reposted in QuickBooks.

GROUP	WHAT IS AT STAKE	ITEMS
Depreciation	About three points of the indirect rate. Includes \$157,739 of grant reimbursements netted against the cost of Tech Block Building 5 — if confirmed, the recorded cost understates the real basis and the federal share cannot be derived from the books at all.	6
The books	Whether Rising Tides is federally funded — \$1,386,356 of expense, and it changes the scope of the Single Audit, not just a rate. Plus \$451,170 the P&L calls Innovation Hub and the revenue ledger calls America Makes.	4
Space	Four buildings named once each in the lease book, one tenant across two of them, eight tenancies with no start date.	4
People	The payroll register identifies people by surname alone. Any two sharing one have had their hours joined together.	1
Invoices	The real dates on the three America Makes invoices, and whether any of the \$57,961 issued has been paid — no cash is recorded against them.	3

Three things we have asked YBI for

Each is a workbook with the answer half filled in already, built from documents YBI had already sent and nothing had ever read.

WORKBOOK	ALREADY FILLED IN	THE ASK
Fixed asset register	263 assets with cost, dates, depreciation	which of them federal money paid for
Floor space	26 tenancies with building and rent	square feet per suite
Employee roster	all 43 people from the payroll register	a working email address, and the hours each was employed to work

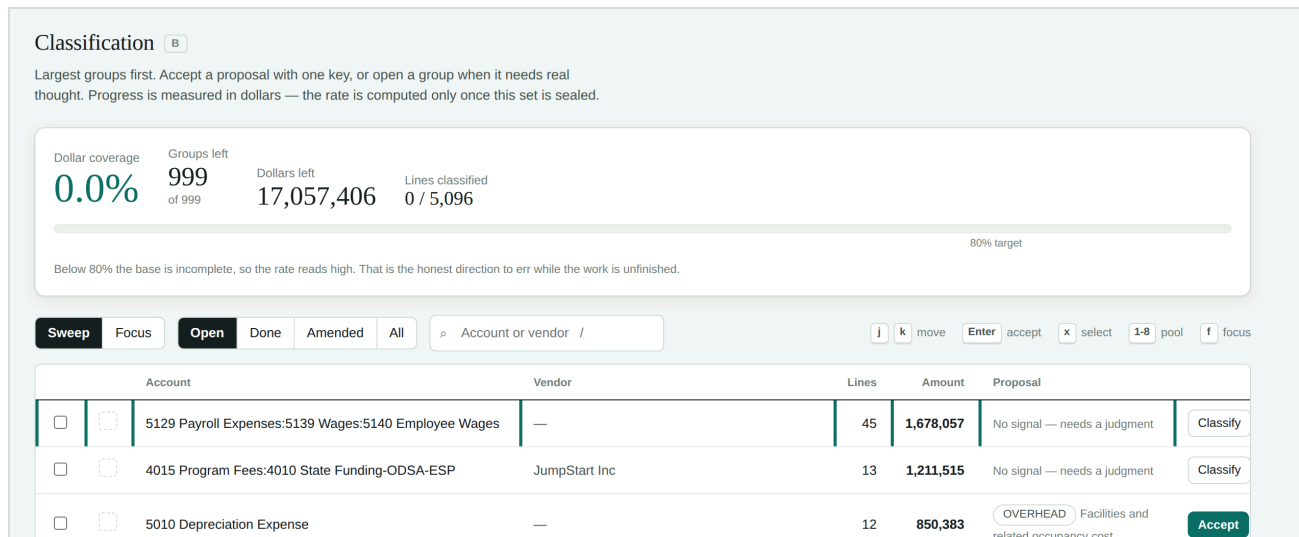
The roster has the longest lead time and should start now. Thirty-seven of forty-three people cannot sign anything, because federal rules require the person whose effort it was to certify it themselves — a manager may not sign on their behalf. Collecting thirty-seven confirmed addresses takes weeks, and nothing else on this list can compress it.

3 • Classification, evidence and certification

Classification. Every expense is grouped by account and vendor, largest first; the top 200 groups carry 94.7% of the dollars. For each, Tom records four things — which cost pool, which column of the Form 990, whether it is allowable federally, and if direct, which contract. The system proposes an answer where it has a real signal (about two-thirds of the dollars) and proposes *nothing* where it does not, rather than guessing. Anything unjudged stays out of the calculation, so the rate reads high while work is unfinished — the honest direction to be wrong.

Evidence. Each judgment carries a stated quality of support, from *verified against a document on file* down to *management reconstruction*. A judgment claiming the highest grade is refused unless a document is actually attached. The audit package prints the grade beside every figure, so a reviewer sees what is proven and what is asserted without asking.

Certification. Where a salary is charged across several contracts, 2 CFR 200.430(i) requires that person to certify their own effort. Every employee therefore gets a timesheet and a certification screen, managers get a list of who has not yet signed, and the system **will not let anyone sign on somebody else's behalf**. YBI's 2025 labour distribution is currently a careful reconstruction from calendars and project records — which is defensible, and is not a certification. Turning it into one needs the roster above; until then the audit package says so on its first page, above the figures.



indirect line, because there was none to carry. That document is itself the record of what YBI was never budgeted to claim, and it is the strongest evidence the restatement has.

MODELLED 2025 POSITION, FIVE NCDMM OBJECTIVES	AMOUNT
Direct cost base	946,527
Indirect at the recommended rate	300,806
Claimable	1,247,334

America Makes has indicated it will accept restated rates applied to prior invoices, provided the restated total stays within the contracted ceiling. That turns this from an argument into arithmetic: per award, restate at the defensible rate, cap at the ceiling, and the sign of the difference decides between an amended invoice and a credit. Hybrid, over-billed, produces a credit; the others produce claims. The system does this invoice by invoice and records the arithmetic beside each. A restatement carries the seal of the rate it used, stays a proposal until the sponsor agrees in writing, and cannot be finalised without naming the clause that authorised changing the basis.

Two things still block the numbers. The ceilings for Drive AM, Digital Engineering and Last Tactical Mile are not on file — only Hybrid's \$500,043 is known, and the ceiling caps each claim. And two different "amounts billed" exist in YBI's own records, \$1.58m apart, depending on whether you read the grant tabs or recognised revenue. Both have to be settled before anything is sent.

6 • Audit close-out and the Form 990

Both come out of the same sealed record, and neither is produced by hand. The **audit package** is a workbook of numbered schedules — import, reconciliation, classifications, rate build-up, awards — each figure traceable to the ledger line and the document behind it, each stating what is unfinished on its first sheet, because a workbook travels and the caveat must travel with it. **Form 990 Part IX** is assembled from the same classifications: every expense lands in programme services, management and general, or fundraising because somebody judged it so and said why.

The return prints NOT FILEABLE while any expense is unjudged, and cost nobody has classified appears in its own column rather than being spread across the three the return prints — the totals are deliberately short by that amount until the queue is empty. Nobody can file an incomplete return from this system by accident.

The order is fixed and each step is refused until the one before it is complete: classify → seal → compute the rate → allocate to contracts → restate the America Makes invoices → produce the package and the return.

7 • Summary

WHERE IT STANDS	WHAT IT NEEDS	FROM WHOM
System, controls, audit trail	Nothing — built and proved	—
The books reconcile	Eighteen questions answered	Tom, this week
Classification	About 200 real decisions; Portfolio consulting first	Tom
Depreciation	Funding source per asset	YBI — workbook ready
Occupancy	Square feet per suite	YBI — workbook ready
Labour certification	37 addresses and employment terms	YBI — start now
America Makes restatement	Three ceilings; one billing figure	Tom / NCDMM
Audit package and 990	Everything above, in order	—

Two things to take away. **The recurring value is the rate, not the 2025 recovery** — \$26,550 per \$100,000 of salary, on every proposal from here on. And **the only item with a lead time measured in weeks is thirty-seven email addresses**, which is why it is the one to start today.

Figures read from the live record on 12 September 2026. Rates are modelled estimates from the analysis phase; the system will not produce a rate until the classifications are sealed. Detail in *docs/FOR_TOM_TO_VERIFY.md*, *docs/FOUNDATION.md* and *PROJECT_CONTEXT.md*.